

IS THE BUSINESS SEASONAL OR NON SEASONAL?

Some businesses conduct a majority of their sales in certain months of the year. For instance, travel and event businesses carry out intensive and maximum business over a few months. At the same time, essential products, schools, hospitals, etc. are in business throughout the year. We need to identify if our business is seasonal or constant throughout the year.

During the months of peak work, seasonal businesses, require additional capital investment whereas, in the dull months, capital gets free and sits idle for a few months. This has significant implications on our lazy finance profile.

